SIEMENS energy

Shareholder Letter Q3 FY2025

Siemens Energy Investor Relations

Dear shareholders,

on August 6, 2025, Christian Bruch, our CEO, and Maria Ferraro, our CFO, presented our results for the third quarter of fiscal year 2025.

*"**Our businesses delivered another strong quarter**, continuing the solid performance of this fiscal year. This puts us **on track to meet the upgraded guidance** issued in the second quarter, **and we are currently trending towards the upper end of the range**. With the decision to lift the dividend ban following our early exit from the federal Bund Back Guarantee, **we are now able to pay a dividend to our shareholders** earlier than expected. These are important achievements, and **our focus remains on profitable growth through continued excellence in project execution**",* said Christian Bruch.

Siemens Energy (SE) had the **highest quarterly order intake ever at €16.6bn** and was able to continue the strong performance of the first half of the year. On a comparable basis (excluding currency translation and portfolio effects), **orders exceeded prior year's figure by 64.6%**. All segments contributed to this growth, especially Siemens Gamesa with two large offshore orders in the Baltic Sea. The Book-to-bill ratio was at 1.70, driving the order backlog to a new record level of €136bn. However, the increase was held back by negative currency translation effects of almost €4bn.

Revenue continued to grow at a double-digit percentage rate to €9.7bn, representing an increase of 13.5% on a comparable basis**.**

Siemens Energy's Profit before Special items was €497m (Q3 FY 2024: €49m) **and the corresponding margin was 5.1%.** This reflects a higher revenue volume year-over-year and underlying operational improvements. **Special items amounted to positive €458m** (Q3 FY 2024: €69m). The positive effect, was primarily due to the demerger of the energy business from Siemens Limited, India. Siemens Energy's Profit was at €956m (Q3 FY 2024: €119m).

SE achieved a Net income of €697m (Q3 FY 2024: Net loss €102m). The corresponding **basic earnings per share**

amounted to €0.71 (Q3 FY 2024: negative €0.16).

Free cash flow pre tax amounted to €419m (Q3 FY 2024: €727m) **and was in line with expectations**. The decline year-over-year was mainly related to the development of operating net working capital at Siemens Gamesa and also attributable to expansion investments in line with our order growth.

SE reaffirms the raised outlook issued in the second quarter (see page 5) **with a tendency towards the upper end of the guided ranges. A comprehensive update regarding our midterm targets will be provided with our full year financial results on November 14, 2025**. At our **Capital Market Day on November 20, 2025**, we will present an in-depth overview of our business operations, their strategic plans for achieving profitable growth, and generating attractive shareholder returns.

Despite our strong financial performance in the third quarter, we also achieved several important milestones on our path to profitable growth, which I will highlight in the following pages.

I wish you a wonderful summer and want to thank you very much for your continued support and your interest in Siemens Energy.

All the best

Tobias Hang

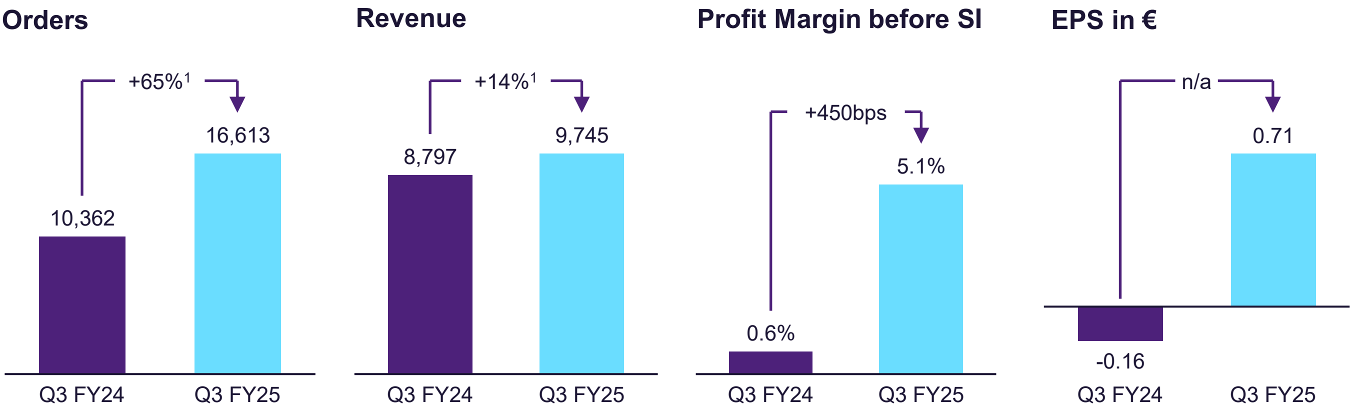
Tobias Hang | Head of Investor Relations

Orders Q3	Revenue Q3	Profit before SI[2] Q3
€16.6bn +65%[1]	€9.7bn +14%[1]	€497m >200%

1 Comparable basis: Excluding currency translation and portfolio effects | **2** Special Items

Siemens Energy in Q3 FY 2025

(in €bn, except where otherwise stated)



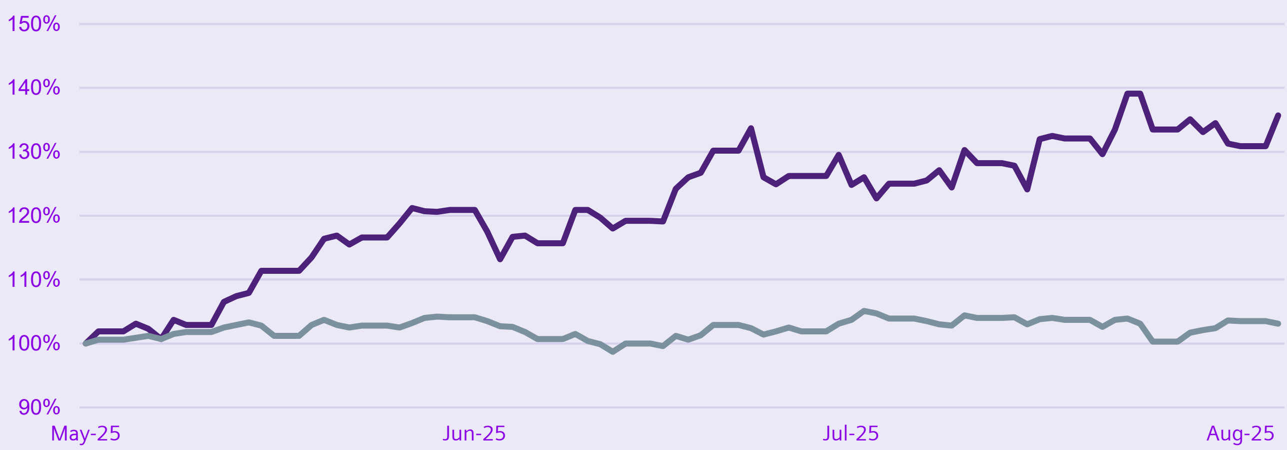
Business Areas	Orders		Revenue		Profit Margin before SI	
	in €m	Change[1]	in €m	Change[1]	in %	Change
Q3 FY 2025						
Gas Services	**6,180**	**+21.6%**	**3,118**	**+16.7%**	**13.0%**	**+620bps**
Grid Technologies	**4,218**	**+23.9%**	**2,819**	**+25.8%**	**15.9%**	**+560bps**
Transformation of Industry	**1,356**	**+23.4%**	**1,361**	**+6.1%**	**11.5%**	**+370bps**
Sustainable Energy Systems	6	(47.8)%	50	+55.0%	(50.5)%	+610bps
Electrification, Automation, Digitalization	457	+34.7%	338	(2.6)%	8.9%	+320bps
Industrial Steam Turbines & Generators	452	+21.2%	388	+3.2%	16.2%	+360bps
Compression	451	+17.9%	605	+11.4%	14.7%	+530bps
Siemens Gamesa	**4,890**	**>200%**	**2,506**	**(0.5)%**	**(17.5)%**	**(10)bps**

1 Comparable (excluding currency translation and portfolio effects)

Share performance

May 8, 2025 – August 11, 2025

Siemens Energy | **DAX**



Siemens Energy +35.7% · **DAX** +3.1% · **GE Vernova** +65.2% · **Baker Hughes** +17.8% · **Hitachi** +10.7% · **MHI** +33.9%

Dividend restriction already lifted for FY25

On July 30, 2025, the Budget Committee of the **German Federal Parliament lifted Siemens Energy's dividend restriction** already for the fiscal year 2025. This means that the dividend restriction ends one year earlier than initially scheduled. Maria Ferraro, CFO of Siemens Energy, said:

Siemens Energy Dividend Policy

40% to 60% of the Net income[1] attributable to shareholders of Siemens Energy AG. The decision on a proposal for a dividend distribution for FY25 is expected to be made by the responsible bodies in November 2025 and needs to be finally approved by SE's shareholders at our AGM in February 2026.

"I am very pleased with this decision which enables us to pay a dividend to our shareholders earlier than expected. Following our early exit from the federal Bund Back Guarantee and full replacement of the Syndicated Guarantee Facility, this is the next progressive step – a clear signal of Siemens Energy's operational performance in the last quarters and solid financial foundation. We now revert to the relevant governance process and appropriate steps to approve the potential dividend payout. Our way forward is clear: ***we remain focused on operational excellence and profitable growth – ensuring that our shareholders can continue to place their confidence in Siemens Energy for the long term****."*

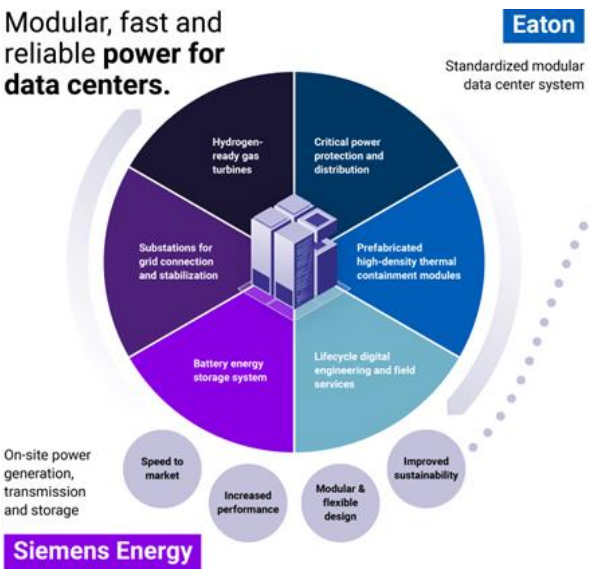
The dividend restriction was lifted in connection with the early replacement of the counter-guarantee provided by the German Federal Government in support of a guarantee facility extended by a consortium of banks in June 2025, when Siemens Energy completed the planned **replacement of the €11 billion facility backed by the German federal government.** The new facility with a term of 5 years is provided by an expanded consortium of 23 international banks.

In addition to the Bund Back Guarantee exit, **Siemens Energy secured an investment grade rating of Baa2 with a positive outlook from Moody's** on June 17, 2025. Having multiple investment grade credit ratings strengthens capital market trust in Siemens Energy's financial stability, affirming the company's creditworthiness across independent rating agencies.

Eaton and Siemens Energy join forces to accelerate the delivery of new data center capacity

Eaton and Siemens Energy have announced **a fast-track approach to building data centers with integrated onsite power**. The collaboration will enable simultaneous construction of data centers and associated on-site power generation with grid connection and the integration of renewables to meet regional regulatory requirements. **Siemens Energy's modular and scalable power plant concept is tailored to the specific needs of data center operators.** The standard configuration generates 500 megawatts (MW) of electricity featuring highly efficient SGT-800 gas turbines, redundancy and additional battery storage systems, ensuring the highest reliability. Based on its modular approach, the size of the plant can be scaled up and down. In the future, it can also operate in a carbon-neutral manner, provided hydrogen is available and part of the data center's sustainability strategy.

Eaton will provide customers with electrical equipment such as medium voltage switchgear, low voltage switchgear, busways, structural support, racks and containment systems, engineering services and the software offerings needed to protect and enable IT loads from the medium-voltage grid to the chip and help accelerate building and commissioning data centers with skidded and modular designs.



Data center background information

Data centers are an especially **dynamic driver of the growing demand for electricity.** Tremendous amounts of energy are required to power the inexorable **rise of artificial intelligence.** According to forecasts, the **power consumption of data centers could more than double to around 945 terawatt-hours by 2030.** That amount is equivalent to the total power consumption of Japan today.

On top of that, data centers are often built on large-area sites with no power grid infrastructure. To supply these sites with the required electricity, therefore, **it will be necessary to extend the power grid in addition to increasing power generation**.

However, expanding the power grid often takes longer than building the data centers themselves. That is a huge challenge for the operators of data centers, who require quick solutions to deal with it. That is why they are increasingly investing in their own independent and reliable energy supply systems.

1 Net income may be adjusted for extraordinary non-cash effects

Energy business in India successfully listed

On June 19, 2025, **Siemens Energy India Limited (SEIL) was successfully listed on the Indian stock exchanges**, completing the demerger and listing of the energy business of Siemens India Ltd. (SIL). With this step, SEIL is now positioned to operate with greater agility, transparency, and strategic focus – ready to lead in one of the world's most dynamic and fast-growing energy markets.

With more than 4,200 skilled professionals, ten state-of-the-art factories and eleven regional offices, SEIL is deeply embedded in India's industrial landscape and also serves neighbouring countries including Bhutan, Nepal, Sri Lanka and the Maldives.

Siemens AG and its subsidiaries hold 69 percent in SEIL and the subsidiaries of Siemens Energy AG hold 6 percent in SEIL, with the remainder in free float. **Siemens Energy has an agreement with Siemens AG to acquire shares in SEIL from Siemens AG, intending to reach a majority of 51%.**

One part of this transaction will be an exchange of shares (SEIL for SIL) and the other part will be a cash transaction. The completion of the entire transaction is expected to take up to three years post demerger.

Important progress at Siemens Gamesa

Siemens Gamesa receives first 4.X order

Siemens Gamesa received its first order for its 4.X wind turbine platform since relaunching it in 2024. Iberdrola España and the Basque government will invest €59m in the Basque Country's first wind farm in 20 years and **Siemens Gamesa will supply eight SG 5.0-145 (2.0) 5MW wind turbines.**

Source: www.iberdrolaespana.com

SG 7.0-170 (5.X successor) sales started

Siemens Gamesa released the first tranche of the revised 5.X turbine, namely SG 7.0-170, for sales. This is an important step for our Onshore business on the road back to a regular presence in our key markets. **To ensure product quality and strong turbine performance, Siemens Gamesa thoroughly revised the machine architecture, main components, and production steps.** During the conditional market launch, Siemens Gamesa will conduct prototype testing to validate the positive technical assessments obtained to date. Parallel to the technical evaluation, we will gradually expand the planned production volume based on the validation results.

Tariffs and business development in the U.S.

By the third quarter of the year, Siemens Energy had incurred an additional impact from tariffs of around €100m and in the fourth quarter SE expects an additional mid-double-digit million € amount as the agreed tariff rate of 15% is higher than our original assumption of 10%.

Those tariff charges primarily relate to our existing service contracts. For new and existing delivery projects, there are mechanisms in place enabling to pass the majority of additional cost to the customers.

This has to be differentiated though. On the one hand, we manufacture locally in the U.S. On the other hand, we have an international supply chain, meaning we import from more than just the EU. There are still many details to be clarified and therefore **we can only estimate the final impact for now.**

Despite the tariff situation, we are currently seeing an extremely strong market in the U.S. for energy solutions, with regards to both the replacement of outdated infrastructure as well as the enormous demand for electricity from data centers.

In the third quarter, 35% of our orders came from the U.S., whereas this figure was even higher for Gas Services and Grid Technology at around 50%.

Financial outlook for FY25 – Tendency towards the upper end of the guided ranges

	Q1 – Q3 FY2025		FY2025 Outlook	
	Revenue growth[1]	**Profit Margin before SI[2]**	**Revenue growth[1]**	**Profit Margin before SI[2]**
Gas Services	13.8%	14.6%	11 – 13%	11 – 13%
Grid Technologies	27.9%	16.3%	24 – 26%	14 – 16%
Transformation of Industry	11.2%	11.4%	13 – 15%	9 – 11%
Siemens Gamesa	10.7%	neg. €1,061m	0 – 2%	around neg. €1.3bn
Siemens Energy	**17.4%**	**6.6%**	**13 – 15%**	**4 – 6%**
Net Income	€1,450m (incl. positive SIL Special items of ~€0.5bn)		up to €1bn[3]	
Free cash flow pre tax[4]	€3.4bn		around €4bn	

This outlook excludes charges related to any future legal and regulatory matters.
1 Comparable revenue growth: Excluding currency translation and portfolio effects | **2** Profit margin in % of revenue with profit as earnings before financial result, income taxes, amortization expenses related to intangible assets acquired in business combinations, and goodwill impairments | **3** excluding positive Special items of ~€0.5bn subsequent to the demerger of the energy business from Siemens Limited, India | **4** Free cash flow pre tax as operating cash flow less purchase of intangibles assets and property, plant and equipment and less Income taxes paid

Financial Calendar

Nov. 14, 2025	4th quarter FY25
Nov. 19/20, 2025	Capital Market Day
Feb. 11, 2026	1st quarter FY26
Feb. 26, 2026	AGM

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Information and Forward-Looking Statements